For the purpose of the compilation of monetary and liquidity aggregates, the third working group divided the economy into the domestic sector and rest of the world. The domestic sector was further divided into four exclusive sectors, viz.,

1. Households
2. Non-financial commercial sector
3. General government
4. Financial corporations

The financial corporation sector comprises the banking sector, consisting of the RBI and the banking systems in India and the other financial corporation sector. The other financial corporation sectors comprises development financial institutions such as term lending institutions and refinancing insurance corporations, mutual funds and non-banking financial companies accepting deposits from the public.

The domestic sector can also be classified as money issuing sector and money holding sector. Money issuing sector comprises RBI and banking systems in India. Money holding sector comprises households, other financial corporations and non-financial commercial sector. This is represented in chart 9.1.

Chart 9.1: Sectorisation of The Economy For Money Supply Compilation